NOCO | Asset IQ
BY AXION DYNAMICS

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Preliminary Energy Investment Roadmap

Riverside Commerce Center · Buffalo, NY

1. Building information

Building **Riverside Commerce Center**	Location **Buffalo, NY**	Building type **Office**
Floor area **85,000 sq ft**	Year built **1988**	Annual energy spend (est.) **$172,000**

2. Executive summary

Based on the information provided and the stated objective, Asset IQ recommends the **Balanced** path: LED Lighting → Envelope + Insulation → High-Efficiency HVAC. The program requires an estimated **$579,335** net investment after potential incentives and is expected to save about **$47,627** per year — a simple payback of 12.2 yrs and a 28% reduction in annual energy spend.

This plan replaces the HVAC, which is about 32 years old and past its service life.

Because the HVAC needs replacing regardless, the fair comparison is replacing it alone, at about **$430,807** net for **$19,113** per year. This plan adds **$148,527** for a further **$28,514** per year, a **5.2 yrs** payback on the extra spend.

Sequencing load reductions ahead of equipment decisions lowers the estimated net project cost by about **$36,915**, which keeps the program within the stated budget.

3. Recommended sequence

Phase	Measure and rationale	Net cost	Savings / yr
01	**LED Lighting** Starts saving as soon as it is installed, and less heat from lighting trims the cooling load the new HVAC has to serve.	$108,375	$17,911
02	**Envelope + Insulation** Improve the envelope before replacing HVAC so future heating and cooling equipment can be sized for the reduced building load.	$77,067	$13,304
03	**High-Efficiency HVAC** Replaced after load reduction so equipment is sized to the smaller load — an estimated $36,915 lower net equipment cost than sizing for today's building.	$393,893	$16,412

Phase	Measure and rationale	Net cost	Savings / yr
	Total, interaction-adjusted	**$579,335**	**$47,627**

Every order was tested. This order is worth the most of all the possible orders over 15 years, allowing for what each upgrade does to the others and for savings starting sooner or later.

Envelope before HVAC. Envelope improvements come before HVAC because reducing heating and cooling demand can lower the future capacity requirement.

LED before HVAC. LED lighting starts saving as soon as it is installed. Lower lighting heat gain also trims the cooling load the new HVAC must handle.

4. Financial summary

Gross investment	$681,570
Potential incentives	−$102,236
Net investment	**$579,335**
Estimated annual savings	**$47,627**
Simple payback	12.2 yrs
15-year value at 6% discount	-$111,720
Estimated CO_2 reduction	148 t CO_2e per year
Budget	$600,000

This value is charged $350,563 in today's dollars for replacing the HVAC. That equipment is past a 20-year service life, so most of this cost comes due with or without the plan.

Potential incentive — eligibility requires verification. Assumes 15% incentive level and 0% electricity price change.

5. Data and assumptions

Data provided
Detailed (90%)

Most valuable next data point
On-site walkthrough
Data provided 90% → 95%

Savings are calculated sequentially, so overlapping savings are not double counted.

Electricity at $0.164/kWh; natural gas at $1.15/therm.

Costs and savings use typical planning factors, not contractor quotes or site measurements, whatever the share of data provided.

6. Recommended next steps

1. Conduct an on-site energy assessment.
2. Verify equipment specifications.
3. Confirm available incentives.

4. Develop contractor-ready project scopes.

Preliminary estimate. Final recommendations require site verification and confirmed incentive eligibility.